

World in Brief: Iran and Oman agree on proposed Hormuz route; progressives win in Michigan



Photograph: Reuters

Iran and **Oman** agreed to a proposed new shipping route through the **Strait of Hormuz**, according to Iranian state media. Iran's foreign ministry spokesman said a joint statement between the two countries would soon be finalised, "provided certain third parties do not obstruct the process". The Trump administration has suggested the [waterway could reopen](#) imminently. Oil prices steadied as traders hoped for a deal.

Abdul El-Sayed [narrowly beat Haley Stevens](#) in America's Democratic Senate primary in **Michigan**. With almost all votes tallied, Mr El-Sayed, on the party's left wing, had 48.5%, ahead of Ms Stevens, a centrist, on 47.5%. His victory is a boon for the Democrats' progressive wing after [a bitter intraparty struggle](#). The left has recently won primaries in New York City and Colorado.

Demis Hassabis, the Nobel-prizewinning chief executive of Google DeepMind will step down. He will become AI lab's chair, as well as the chief scientist for Alphabet, Google's parent. Mr Hassabis said he wanted to focus on the "big picture". Last month he elaborated on proposals to regulate AI, including America's

government testing new models before release, in an [interview with *The Economist*](#).

SoftBank, a Japanese tech conglomerate, reported a profit of \$2.2bn for the second quarter of this year, above expectations. Its gains came partly because of its stake in Intel, an American chipmaker whose shares have surged recently. Still, profits were down around 18% from the same period a year ago. That may be because SoftBank saw no gain (though no loss either) in this quarter from its \$60bn investment in OpenAI.

Hackers reportedly attacked a number of large hedge funds and private-equity firms on **Wall Street**. They appear to have used voice phishing, or vishing, whereby technology mimics voices to fool employees into giving up sensitive information. Cybersecurity breaches, including demands for ransom to unlock data or systems, are increasing as AI tools aid cheap attacks.

America's Food and Drug Administration approved an **mRNA flu vaccine** for the first time. Moderna's drug, called mFLUSIVA, uses a technology that should allow it to produce faster updates to target prevalent strains. The firm withdrew its application last year after the [FDA](#) demanded more evidence about the vaccine's efficacy. Outcry from public-health experts contributed to a reversal.

Gianni Infantino admitted that "mistakes were made" in his [doomed plan](#) to sell stakes in football tournaments to private investors. In a letter to FIFA members, Mr Infantino apologised for the debacle, but insisted he would remain president of the sport's governing body. FIFA would "no longer tolerate" [criticism of its governance](#), he said. The scheme had been conjured up without consulting national associations.

Figure of the day: 2,000. The number of padel courts in Britain. Back in 2020, there were just 87. Millions now play padel around the world. [Read our story about whether anyone will watch it.](#)

Frustrating forecasts from the Fed



Photograph: Reuters

Kevin Warsh's press conference last week rattled markets. The Federal Reserve's new chair dodged questions and revealed little about how he reads the economy. He lobbed in confusing metaphors such as "market participants are learning to play the ball, not the referee." Afterwards, long-term bond yields rose while short-term yields fell—a sign that investors expect easier policy soon, but greater inflation risks later.

Other Fed officials will now try to clarify the message. On Thursday Alberto Musalem, president of the St Louis Fed, will discuss America's monetary-policy outlook at a Brazilian think-tank. On Friday his counterpart at the Richmond Fed, Thomas Barkin, will have a cosy "fireside chat" with the National Association for Business Economics. Last weekend Mr Musalem said that he "took [a] signal" from Mr Warsh's comments: "that we need to continue to earn our credibility every day with both effective communication and actions". With labour-market risks receding and core inflation still above 3%, one action may be a rate rise in September.

Warner Bros Discovery is in limbo



Photograph: AFP

With its [\\$111bn sale](#) to Paramount stalled, Warner Bros Discovery is expected to report weak second-quarter results on Thursday. It has had few recent box-office hits and its cable business is moribund. A sharp decline in revenues year on year has probably pushed WBD into the red. The sole bright spot is its streaming service: HBO Max is heading towards 150m global subscribers this year. From September 30th shareholders can also look forward to a \$650m-a-quarter “ticking fee” from Paramount (a penalty paid when a transaction is delayed). That will persist until there is resolution to the [antitrust fight](#) between Paramount, led by David Ellison, and 12 states’ attorneys-general.

The trial has been set for March. In the meantime, a question mark hangs over the future of WBD’s news outlet. Mr Ellison’s critics argue that CNN would shift to the right under his control, which the Trump-aligned billionaire disputes. The drama is gripping.

Britain's housing pledge is on shaky foundations



Photograph: David Simonds

Cracks in Britain's housing market are widening. War in Iran has kept inflation up, raising interest rates and hurting demand. Higher construction costs have also slowed building. Britain's largest residential developers issued eight profit warnings in the first half of 2026, recalling the global financial crisis of 2007-09. On Thursday Persimmon, one of Britain's biggest housebuilders, defied the slowdown, reporting a 15% growth year on year in first-half profits and 13% growth completions. But, despite success in controlling rising costs, it warned of a "challenging" market.

But Vistry, another developer, has suffered most. Its stock has fallen by 60% since the war began, and is now Britain's most shorted. In 2023 it switched from focusing on private sales to [state-subsidised housing](#). Still, the firm sold just 6,100 homes in the first half of this year, down by 11% from the same period in 2025. In part because of the difficulties faced by homebuilders, the government's pledge of 1.5m new homes before the next general election, due by 2029, looks unattainable. Targets, ministers are finding, are easier to lay than bricks.

Will Japan's non-nuclear pledge survive?



Photograph: Reuters

On Thursday Japan observed the 81st anniversary of the [atomic bombing of Hiroshima](#). At a ceremony, the mayor read out a customary declaration calling for “the immediate abolition of nuclear weapons”.

Since 1967 Japan has pledged not to produce, possess or host nukes. But its pacifist ideals are under strain. The government is reviewing its main defence policies and considering whether to revise its non-nuclear principles in the face of an unstable world order. Takaichi Sanae, the prime minister, argues that refusing to allow other countries to keep their nuclear weapons on Japanese territory is increasingly unrealistic if the country still wants protection from America’s nuclear umbrella. At the ceremony in Hiroshima, which she attended, she avoided making any clear statement on the issue. Koizumi Shinjiro, her defence minister, recently said it should be debated “without taboos”.

Such remarks have provoked backlash, especially from survivors of the nuclear bombings. One poll suggests 75% of Japanese prefer the status quo. But the fact that politicians are even suggesting a change shows how the mood in Japan is shifting.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Thursday: What suffix is used in taxonomy to refer to feet?

Wednesday: Which TV series featured Scott Bakula playing the time-travelling scientist, Sam Beckett?

*The secret of staying young is to
live honestly, eat slowly and lie
about your age.*

Lucille Ball